



2%
the US federal
government's
target level of
inflation

CAUSES OF DEMAND-PULL INFLATION

When an economy expands too rapidly, or unsustainably, an excess money supply can cause customer demand to overtake the supply of goods and services. A rise in spending is caused by several factors.

- **Monetary policy** A cut in interest rates, leading to a relaxation of loan restrictions, can increase the money supply, and result in more borrowing and spending.
- **Government spending** Increased investment and spending by the state can expand the money supply, resulting in more consumer activity.
- **Lower tax** A decrease in direct or indirect taxes can increase income.
- **Consumer confidence** If consumers and firms feel confident about the future, they may spend money they would otherwise have saved.
- **Property prices** High house prices can cause home owners to feel more wealthy, increasing their willingness to spend and thus their demand for consumer goods.
- **Rapid growth abroad** High export sales can increase the amount of money flowing into the country, with a knock-on effect on inflation.

